STRATEGIC RECOMMENDATIONS BASED ON ADIDAS SALES DATA ANALYSIS

1. Product Strategy

Adidas should prioritize products that generate high sales and strong operating profit while reviewing the performance of products with comparatively lower sales.

Men's Street Footwear is the leading product in the workbook's product analysis, generating approximately $27.68 million in sales and $11.63 million in operating profit. Women's Apparel is the second-highest sales contributor, with approximately $23.87 million in sales and $9.69 million in operating profit. These products should receive priority in product promotion, stock availability and marketing campaigns.

Conversely, Women's Athletic Footwear recorded the lowest sales among the six products, at approximately $14.32 million. Adidas should investigate whether this performance is associated with pricing, product preferences, limited promotion or inadequate availability before making decisions about reducing its inventory or changing its product range.

The company should also evaluate each product using units sold and operating margin, rather than sales revenue alone. For example, Men's Street Footwear has an operating margin of approximately 42%, making it attractive from both a sales and profitability perspective. Product-specific promotional campaigns and customer feedback should be used to identify opportunities to improve weaker product lines.

2. Channel Optimization

Adidas should strengthen its online sales channel while improving the profitability of its outlet and in-store channels.

According to the sales-method analysis, Online generated the highest sales, at approximately $44.97 million, followed by Outlet at $39.54 million and In-store at $35.66 million. Online also recorded the highest operating profit, at approximately $19.55 million, and the strongest operating margin of about 43.5%.

These results suggest that Adidas should invest in improving its online shopping experience, digital advertising, product visibility and delivery services. Online promotions should be targeted toward products with strong sales and profit potential, while inventory availability should be coordinated with online demand to reduce missed sales opportunities.

The outlet channel should be used strategically to sell excess inventory and older product lines without relying excessively on discounts that could reduce profitability. For in-store sales, Adidas should assess store-level performance, product availability and promotional effectiveness. Targeted in-store campaigns and improved product displays may help increase sales and profitability.

The company should continue comparing all three channels using sales revenue, units sold and operating margin. This will help Adidas avoid prioritizing a channel solely because of its revenue contribution.

3. Regional Focus

Adidas should allocate marketing resources and inventory according to the sales and profitability characteristics of each region.

The West recorded the highest sales, at approximately $36.44 million, representing about 30.3% of total sales in the workbook's regional summary. It should remain a priority market, with sufficient stock of high-performing products and continued investment in effective promotional activities.

However, the South recorded approximately $20.60 million in sales and the highest regional operating margin, at about 44.8%. This suggests that the South may offer an opportunity to

improve profitability even though its total sales are lower than those of the West. Adidas should investigate which products, retailers and sales methods contribute to this strong margin and consider applying successful approaches in other regions.

The Midwest recorded the lowest regional sales, at approximately $16.67 million. Adidas should investigate local product preferences, distribution coverage, retailer performance and promotional effectiveness before deciding how to improve results. Targeted campaigns and product assortments suited to local demand may help increase sales.

Regional decisions should therefore consider both market size and profitability. Adidas should maintain its presence in high-sales regions while exploring opportunities in regions with strong margins or potential for growth.

4. Demand Forecasting

Adidas should develop a demand forecasting process using historical monthly sales, units sold and seasonal patterns to improve inventory planning and reduce stock shortages or excess inventory.

The workbook contains sales records from 2020 and 2021. The monthly analysis shows that sales and units sold vary across the months, so Adidas should examine these patterns when planning stock purchases and distribution. Forecasts should be prepared for individual products and, where possible, for each region and sales method.

For example, Men's Street Footwear and Women's Apparel should receive particular attention during inventory planning because they are the two leading products by sales revenue. Products with lower sales, such as Women's Athletic Footwear, should be stocked according to observed demand rather than automatically receiving the same inventory allocation as leading products.

Adidas should use monthly sales trends, units sold and seasonal demand patterns to estimate future requirements. Forecasts should be compared with actual results regularly and adjusted when

demand differs from expectations. Retailer orders, promotions and stock availability should also be considered when interpreting changes in sales.

An important limitation: Sales in 2021 are substantially higher than in 2020 in the workbook. Before treating this as genuine business growth or using it to forecast future demand, Adidas should verify that the data has consistent coverage and that the difference is not caused by differences in record volume or data preparation. Forecasting should be based on validated, comparable records.

5. Retailer and Partner Management

Adidas should strengthen relationships with its highest-performing retail partners while developing improvement strategies for retailers with lower sales contributions.

The retailer analysis identifies West Gear as the highest sales contributor, with approximately $32.41 million in sales, followed by Foot Locker at $29.02 million and Sports Direct at $24.62 million. Adidas should maintain strong relationships with these retailers through effective inventory coordination, joint marketing campaigns and regular performance reviews.

Sports Direct recorded an operating margin of approximately 43.2%, the highest among the six retailers in the workbook. Adidas should examine the factors contributing to this performance, including its product mix, sales methods and operating efficiency, to identify practices that could be applied to other retail partnerships.

Amazon and Walmart recorded comparatively lower sales contributions, at approximately $10.10 million and $10.51 million, respectively. Rather than immediately reducing support for these retailers, Adidas should assess their product availability, customer reach, sales trends and promotional effectiveness. Targeted campaigns and improved product assortment may help strengthen their performance.

Adidas should also introduce regular retailer performance reviews using total sales, operating profit, operating margin and units sold. These measures would support more informed decisions about inventory allocation, promotional funding and future partnership agreements.